

addressed. Such technical issues constitute excusable neglect or clerical administrative delay justifying a set-aside (*Rojas v. Cutsforth* (1992) 11 Cal.App.4th 1131).

Relief under Code of Civil Procedure section 473.5 requires a showing that the lack of actual notice was not caused by the party's avoidance of service or inexcusable neglect. Defendants' proactive behavior—including serving an Answer on Plaintiff's counsel and sending multiple meet-and-confer letters weeks before the default was even sought—demonstrates a good-faith effort to participate in the litigation rather than an attempt to avoid it. fundamental fairness requires that a default be set aside when service does not result in actual knowledge (*Olvera v. Olvera* (1991) 232 Cal.App.3d 32, 40).

The Court further notes that Plaintiff has filed no opposition to this motion. In the absence of an opposition, the Court is entitled to consider the lack of response as an admission that the motion is meritorious (Riverside County Superior Court Local Rules; see also *Herzberg v. County of Plumas* (2005) 133 Cal.App.4th 1, 20). Because Plaintiff has not briefed any issues in opposition, the Court deems any potential arguments against the set-aside to have been abandoned (*Arnold v. Dow Chemical Co.* (2001) 91 Cal.App.4th 698, 729).

The law maintains a strong public policy favoring the resolution of cases on their merits rather than by default. Given Defendants' continuous efforts to participate in the litigation and the lack of any opposition from Plaintiff, relief is appropriate so that the case may proceed.

4.

CASE #	CASE NAME	HEARING NAME
CVRI2507448	BUTLER vs FCA US LLC	DEMURRER ON COMPLAINT
CVRI2507448	BUTLER vs FCA US LLC	MOTION TO STRIKE COMPLAINT

Tentative Ruling:

Defendant FCA's Demurrer is overruled; Defendant's Motion to Strike is granted with leave to amend within 20 days.

A general demurrer lies where the pleading does not state facts sufficient to constitute a cause of action. (C.C.P., § 430.10(e).) In evaluating a demurrer, the court gives the pleading a reasonable interpretation by reading it as a whole and all of its parts in their context. (*Moore v. Regents of University of California* (1990) 51 Cal.3d 120, 125.) The court assumes the truth of all material facts which have been properly pleaded, of facts which may be inferred from those expressly alleged, and of any material facts of which judicial notice has been requested and may be taken. (*Crowley v. Katleman* (1994) 8 Cal.4th 666, 672.) However, a demurrer does not admit contentions, deductions or conclusions of fact or law. (*Daar v. Yellow Cab Company* (1967) 67 Cal.2d 695, 713.) If the complaint fails to state a cause of action, the court must grant the plaintiff leave to amend if there is a reasonable possibility that the defect can be cured by amendment. (*Blank v. Kirwan* (1985) 39 Cal.3d 311, 318.)

SIXTH CAUSE OF ACTION FOR FRAUDULENT INDUCEMENT CONCEALMENT

The elements of an action for fraud based on concealment are: (1) concealment of a material fact, (2) a duty to disclose the fact to the plaintiff, (3) the intent to defraud the plaintiff, (4) reliance, and (5) as a result of the concealment or suppression of the fact, the plaintiff must have sustained damage. (*Lovejoy v. AT&T Corp.* (2004) 119 Cal.App.4th 151, 157-158.) Generally, a fraud-based cause of action must be pled with particularity, which requires pleading facts showing how, when, where, to whom, and by what means the false representations were tendered. (*Lazar v. Sup. Ct.* (1996) 12 Cal.4th 631, 645.) As concealment is a species of fraud, it must also be pled with specificity. (*Blickman Turkus, LP v. MF Downtown Sunnyvale, LLC* (2008) 162 Cal.App.4th 858, 878.) “California courts apply the same specificity standard to evaluate the factual underpinnings of a fraudulent concealment claim at the pleading stage, even though the focus of inquiry shifts to the unique elements of the claim.” (*Rattagan v. Uber Technologies, Inc.* (2024) 17 Cal.5th 1, 43.) “If the duty to disclose arose by virtue of the parties’ relationship and defendant’s exclusive knowledge or access to certain facts . . . the complaint must also include specific allegations establishing all of the required elements, including (1) the content of the omitted facts; (2) defendant’s awareness of the materiality of those facts, (3) the inaccessibility of the facts to plaintiff, (4) the general point at which the omitted facts should or could have been revealed, and (5) justifiable and actual reliance, either through action or forbearance, based on the defendant’s omission.” (*Id.* at 43-44.)

Specificity

In *Dhital v. Nissan North America, Inc.* (2022) 84 Cal.App.5th 828 the Court addressed the pleading requirements for fraudulent concealment. There, the plaintiff alleged: (1) Nissan installed defective transmissions in numerous vehicles (including the plaintiff’s vehicle); (2) Nissan was aware of the defects and hazards they posed; (3) Nissan had exclusive knowledge of the defects but intentionally concealed and failed to disclose the information; (4) Nissan intended to deceive plaintiffs by concealing the transmission problems; (5) plaintiffs would not have purchased the car had they known of the defects; and (6) plaintiff suffered damages in the form of money paid to purchase the car. (*Id.* at 843-44.) The court held that these allegations were sufficient to state a cause of action for fraudulent inducement. (*Id.* at 843-45.)

Here, Plaintiff’s allegations are similar to the facts alleged in *Dhital*. Plaintiff alleges that on August 25, 2019, he entered into a warranty contract with Defendant FCA in connection with the purchase of the Subject Vehicle. (Comp., ¶ 7.) The 2.0L engine installed in the Subject Vehicle suffers from one or more defects that can result in loss of power, stalling, engine running rough, engine misfires, failure or replacement of the engine (“Engine Defect”). (*Id.* at 16.) The Engine Defect causes unsafe conditions in vehicles equipped with the 2.0L engine, including loss of power while driving. (*Id.* at ¶ 17.) The Engine Defect manifested in the Subject Vehicle during the warranty period. (*Id.* at ¶ 12.)

Plaintiff alleges before he purchased the Subject Vehicle, Defendant knew about the Engine Defect through sources not available to consumers, including pre-release testing data, early consumer complaints to FCA and its dealers, testing conducted in response to the complaints and other internal sources. (*Id.* at ¶¶ 19, 22-27, 67.) Despite its knowledge of the Engine Defect, Defendant continued to conceal and not disclose it. (*Id.* at ¶¶ 25-27, 69.) Plaintiff did not know of the Engine Defect and could not reasonably have discovered the information prior to purchasing the Vehicle. (*Id.* at ¶¶ 67, 69.) Plaintiff contends that if he knew about the Engine Defect, he would not have purchased the Subject Vehicle. (*Id.* ¶ 70.) These facts are sufficient to state a cause of action under *Dhital* even though the exact dates of the pre-release testing and complaints and the dates and representations made by the marketing materials and dealership are not provided.

Duty to Disclose

For fraudulent concealment to be actionable, defendant must have been under a duty to disclose the facts to plaintiff. (*People v. Highland Fed. Sav. & Loan* (1993) 14 Cal.App.4th 1692, 1718; *Stevens v. Sup. Ct.* (1986) 180 Cal.App.3d 605, 608-610.) A duty to disclose may arise (1) when the defendant is in a fiduciary relationship with the plaintiff; (2) when the defendant had exclusive knowledge of material facts not known to the plaintiff; (3) when the defendant actively conceals a material fact from the plaintiff; or (4) when the defendant makes partial representations but also suppresses some material facts. (*Hoffman v. 162 North Wolfe LLC* (2014) 228 Cal.App.4th 1178, 1186.) These circumstances “presuppose a preexisting relationship between the parties, such as ‘between seller and buyer, employer and prospective employee, doctor and patient, or parties entering into any kind of contractual agreement. [Citation.] All of these relationships are created by transactions between parties from which a duty to disclose facts material to the transaction arises under certain circumstances.” (*Rattagan, supra*, 17 Cal.5th at 40-41.) “Such a transaction must necessarily arise from direct dealings between the plaintiff and defendant; it cannot arise between the defendant and the public at large.” (*Bigler-Engler v. Breg, Inc.* (2017) 7 Cal.App.5th 276, 311.) However, the relationship need not be direct where a manufacturer advertises to the plaintiff and obtains monetary benefits from the sale. (*Bader v. Johnson & Johnson* (2022) 86 Cal.App.5th 1094, 1132.)

The FAC alleges that Plaintiff entered into a warranty agreement with FCA pertaining to the vehicle it manufactured. (Comp., ¶ 7.) A contract can form the basis of a transactional relationship. FCA fail to point to any binding authority that such a relationship does not constitute a transaction between the parties for the purposes of fraudulent concealment. As such, this argument fails.

Economic Loss Rule

The economic loss rule bars “a plaintiff’s tort recovery of economic damages unless such damages are accompanied by some form of physical harm (i.e. personal injury or property damage.)” (*North American Chemical Co. v. Sup. Ct.* (1997) 59 Cal.App.4th 764, 777.) A purchaser may only recover in contract for purely economic loss due to disappointed expectations. (*Robinson Helicopter Co. v. Dana Corp.* (2004) 34 Cal. 4th

979, 988.) However, the rule does not apply where the conduct amounting to a breach of contract also violates a duty independent of the contract constituting a tort. (*Erlich v. Menezes* (1999) 21 Cal. 4th 543, 551.) A tortious breach of contract may be found when the breach is accompanied by a traditional common law tort, such as fraud or conversion. (*Robinson Helicopter, supra*, 34 Cal. 4th at 990.) In such cases, the duty that gives rise to tort liability is either completely independent of the contract or arises from conduct which is both intentional and intended to harm. (*Id.*)

In *Rattagan, supra*, the California Supreme Court affirmed that “the economic loss rule does not apply to limit recovery for intentional tort claims like fraud. The doctrine only applies to bar tort recovery for negligently inflicted economic losses unaccompanied by physical or property damage...” (*Rattagan, supra*, 17 Cal.5th at 38.) The Court held that:

[U]nder the economic loss rule, tort recovery for breach of a contract duty is generally barred [citations] unless two conditions are satisfied. A plaintiff must first demonstrate the defendant's injury-causing conduct violated a duty that is independent of the duties and rights assumed by the parties when they entered the contract. Second, the defendant's conduct must have caused injury to persons or property that was not reasonably contemplated by the parties when the contract was formed.

(*Id.* at 20-21.) However, the holding was based on concealment committed during the contractual relationship and did not address whether the economic loss rule applies to claims of fraudulent concealment in the inducement where no contract exists at the time of fraud. (*Id.* at 41, fn 12.)

In *Dhital*, the court expressly found that the economic loss rule did not apply to the fraudulent inducement by concealment claim for purposes of pleading. (*Dhital, supra*, 84 Cal.App.5th at 843.) The court noted that *Robinson* expressly identified fraudulent inducement as an exception to the economic loss rule where the duty giving rise to the tort liability is either completely independent of the contract or arises from conduct with is intentional and intended to cause harm. (*Id.* at 841.) Fraudulently inducing someone to enter a contract by either affirmative misrepresentations or concealment is conduct that is independent and separate from the later breach of the contract. (*Ibid.*) Accordingly, Plaintiff's fraudulent inducement by concealment cause of action is not barred.

MOTION TO STRIKE

Pursuant to C.C.P., § 436(a), the court may “strike out any irrelevant, false, or improper matter inserted in any pleading.” When ruling on a motion to strike, the allegations of the pleading are assumed to be true and read in their context. (*Clauson v. Sup. Ct.* (1998) 67 Cal.App.4th 1253, 1255.) A pleading is to be liberally construed. (*CLD Construction v. City of Ramon* (2004) 120 Cal.App.4th 1141, 1146.)

A motion to strike is the proper procedure to attack a claim for punitive damages. (C.C.P., §§ 435-436; *Truman v. Turning Point of Central Calif., Inc.* (2010) 191

Cal.App.4th 53, 63.) A plaintiff may recover exemplary or punitive damages where it is proven that “the defendant has been guilty of oppression, fraud or malice.” (Civ. Code §3294(a).) As defined in the statute, malice is “conduct which is intended by the defendant to cause injury to the plaintiff or despicable conduct which is carried on by the defendant with a willful and conscious disregard of the rights or safety of others.” (Civ. Code § 3294(c)(1).) Despicable conduct is conduct which is “so vile, base, contemptible, miserable, wretched or loathsome that it would be looked down upon and despised by ordinary decent people.” (*American Airlines, Inc. v. Sheppard Mullin Richter & Hampton* (2002) 96 Cal.App.4th 1017, 1050.) Malice does not require actual intent to harm. Instead, the plaintiff may show “conscious disregard for the safety of others where the defendant is aware of the probable dangerous consequences of his or her conduct and here or she willfully fails to avoid such consequences.” (*Angie M. v. Sup. Ct.* (1995) 37 Cal.App.4th 1217, 1228.) “Fraud” is defined as, “an intentional misrepresentation, deceit, or concealment of a material fact known to the defendant with the intention on the part of the defendant of thereby depriving a person of property or legal rights or otherwise causing injury.” (Civ. Code, § 3294(c)(3).)

Not only must there be circumstances of oppression, fraud or malice, but facts must be alleged in the pleading to support such a claim.” (*Grieves v. Sup. Ct.* (1984) 157 Cal.App.3d 159, 166.) “[A] conclusory characterization of defendant’s conduct as intentional, willful and fraudulent is a patently insufficient statement of ‘oppression, fraud, or malice, express or implied,’ within the meaning of section 3294.” (*Brousseau v. Jarrett* (1977) 73 Cal. App. 3d 864, 872.) The pleading must contain factual allegations of wrongful motive, intent, or purpose. (*Cyrus v. Haveson* (1976) 65 Cal.App.3d 306, 317.)

Because Plaintiff has adequately pled her fraud cause of action, she has established a claim for punitive damages based on that fraud. “A fraud cause of action seeking punitive damages need not include an allegation that the fraud was motivated by the malicious desire to inflict injury upon the victim. The pleading of fraud is sufficient.” (*Stevens v. Sup. Ct.* (1986) 180 Cal.App.3d 605, 610.)

Defendant argues that the claim for punitive damages fails because Plaintiff does not allege corporate ratification. With respect to a corporate employer, the authorization, ratification or act of oppression, fraud, or malice must be on the part of an officer, director, or managing agent of the corporation.” (Civ. Code § 3294(b).) Officers, directors and managing agents are those employees of the corporation who “exercise substantial independent authority and judgment over decisions that ultimately determine corporate policy.” (*White v. Ultamar* (1999) 21 Cal. 4th 563, 573.) Acts of an ordinary supervisory level employees do not subject the corporation to punitive damages. (*Ibid.*) For the purpose of meeting a demurrer, it is sufficient to allege that the corporation authorized their agent’s wrongful acts. (*O’Hara v. Western Seven Trees Corp.* (1977) 75 Cal. App. 3d 798, 806.)

Plaintiff fails to address this argument in his opposition. Instead, Plaintiff asserts that the *Dhital* court also faced a motion to strike the claim for punitive damages. However, the *Dhital* Court expressly declined to address the question of corporate liability for punitive damages. (*Dhital, supra*, 84 Cal.App.5th at 845, fn. 8.) While it may not be

necessary specifically identify any specific officer, directors or managing agents, when it appears from the nature of the allegations that the defendant must necessarily possess full information concerning the facts of the controversy (see *Committee on Children's Television, Inc. v. General Foods Corp.* (1983) 35 Cal.3d 197, 216), here, Plaintiff does not allege authorization or ratification by managing agents. Accordingly, he has not established any basis for corporate liability for punitive damages.